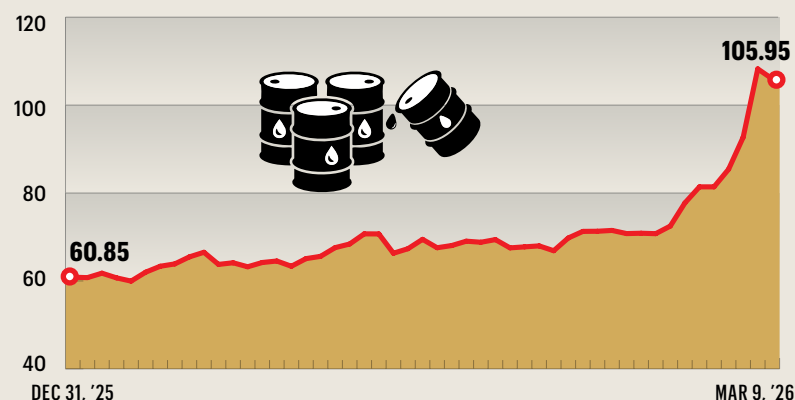


AFTERSHOCKS

• Oil on the boil: Brent crude futures up 74.1% since December 31, 2025

BRENT CRUDE OIL FUTURES (\$ PER BARREL)



SOURCE INVESTING.COM

FEELING THE HEAT

• Rupee under pressure: INR has fallen 2.6% against the USD since December 31, 2025

Day	RBI's Reference Rate
	Rupee vs US Dollar
• Dec 31, '25	89.92
• Mar 9, '26	92.26

SOURCE CMIE ECONOMIC OUTLOOK

RUNNING FOR COVER

• Gold up 19.6% since December 2025

SPOT PRICE PER 10 GMS (₹)



SOURCE MCX

impact of the West Asia crisis and rising crude oil prices on inflation is not estimated to be substantial at this point.

The Union Budget 2026-27, which was presented just a month ago in very different circumstances, was drawn up when the Brent crude oil price hovered around \$69 per barrel on January 30.

Fast forward to March 9, and Brent crude had crossed \$100 per barrel for the first time in four years, touching a high of \$119.5 during the day. Prices cooled down a little after Trump later announced that the war would end soon, though he did not say when. However, they inched back up again subsequently.

As a result of the war, the average price of the Indian basket of crude oil has jumped 40% since January to \$88.16 per barrel in March. The Indian rupee, which was already weakening, has fallen another 2.6% since December and touched a record low of 92.28 against the US dollar on March 4.

Meanwhile, gold prices have risen about 20% since the end of 2025 to ₹1.58 lakh per 10 grammes as investors fled to secure assets, making it more difficult for Indian households to buy the precious metal. Investor sentiment has also remained volatile and the Nifty 50 has fallen 8% this year. (See table)

The government is keeping a close tab on the situation in West Asia and policymakers are hopeful that the war will end in the coming weeks, if not days. Petroleum Minister Hardeep Singh Puri has said India has adequate stocks of crude oil. Sources have indicated that India holds 25 days of crude oil stock and of petroleum products. India has also started purchasing Russian crude oil as the conflict dries up supplies through West Asia.

However, a bigger crisis is emerging on natural gas and the government has invoked the Es-